a generous grant to build the highway on the Nepalese side of the border. For several years, road construction crews blasted their way through the mountains. It was decided to name the highway after Araniko, a thirteenth century Nepalese who, according to legend, introduced Nepalese-style architecture to Tibet and China.

The road was officially opened in 1967, and although old yak tracks and caravan trails had followed approximately the same route for centuries, this was the first time a proper highway crossed the Himalayas. The newly built Chinese highway system in Tibet now extended not only down to the Indian border but also over the crest of the mountains. A bridge called the Sino-Nepal Friendship Bridge spanned the Sun Kosi border river, linking Kodari in Nepal's Sindhupalchok district with Zangmu in Tibet.

Before the road was built, in 1962, Nepal had withdrawn its ambassador from Tibet and substituted a consul general to please the Chinese and, on 22 January 1963, the border between the two countries was finally demarcated. During the 1962 War, Nepal had declared itself neutral although it had warned that it would not submit to aggression from any state. The message was directed to China, but Nepal continued to support China's application for membership in the United Nations and maintained contacts with Beijing.[23] In the wake of the 1962 War, India and Nepal concluded an Arms Assistance Agreement in which the Indians pledged to 'supply arms, ammunition and equipment for the entire Nepalese army [and to] replace existing Nepalese stock by modern weapons as soon as available and also to provide maintenance of and replacement for the equipment to be supplied by them.'[24]

By this time, however, Nepal had begun to play the China card to lessen its traditional dependence on India, which many Nepalese were acutely uncomfortable with, while China evidently saw Nepal as a weak link in India's northern defence that could be exploited to extend its influence over the Himalayas. Thus, as the highway to Tibet opened a new route for trade, India, to show its displeasure with the developments, responded by imposing a blockade on Nepal in 1970. It did not last long, but as a result economic growth in Nepal was limited to 1.7 per cent in the fiscal year 1970–1 from the previous year's 9.8 per cent.[25] After the blockade, much to the annoyance of India, relations between Nepal and China grew even closer.